6-7 PER CENT Estimated decline in export revenue for ceramic manufacturers

manufacturers are selling from existing stock. Exports to the Middle East have also been hit by logistical challenges and supply-chain disruptions. Exports account for 40 per cent of the industry's revenue, with the Middle East contributing 15 per cent, largely from key ceramic clusters of Morbi, Rajkot and Thangadh, among others.

CRISIL Ratings estimates export revenue may decline by 6-7 per cent (around Rs 1,300 crore). According to the agency, the domestic ceramics and tile sector may grow at just 4-5 per cent this fiscal, instead of the projected 7-8 per cent. Nitin Kansal, director, CRISIL Ratings, says: "If the situation persists for another 2-3 weeks, it may lead to longer shutdowns and substantial losses, resulting in a 1-2 per cent revenue decline this fiscal."

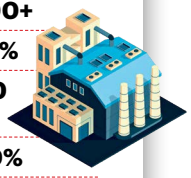
Down south, in Coimbatore, about 30 per cent of 250,000-plus MSME units—foundries, aluminium units, fabrication, powder coating, laser cutting and pump manufacturing—have been affected due to non-availability of LPG since March 9, leading to a 40 per cent drop in production, says M. Karthikeyan, president, Coimbatore District Small Industries Association. Coimbatore, a major hub for pump and motor manufacturing that supplies over 40 per cent of India's requirements, is seeing revenue impacts of up to 30 per cent.

Crude-linked sectors are also under pressure as crude-based derivatives are primary inputs for several products across major sectors—plastics, synthetic fibres (nylon, polyester), rubber, paints, solvents and packaging materials. The plastic processing industry is dependent on imports for polymer raw materials. Of the total annual consumption of 24 million tonnes (MT), 8-9 MT is imported, including about 3 MT from the Gulf region. "All imports from the Gulf have stopped, and supplies from China, the US, Korea and parts of Europe have also been affected due to rising sea freight costs, leading to at least a 45 per cent increase in raw material prices in March itself," says Arvind Goenka, regional chairman (northern region), Federation of Indian Export Organisations.

FACTORIES IN THE FIRING LINE

Rising input costs, halted exports and shutdowns hit MSMEs across several sectors

MSME CLUSTER
(Coimbatore)



- No. of units: **250,000+**
- LPG-dependent: **30%**
- LPG usage: **120,000 cylinders/month**
- Production drop: **40%**
- Revenue impact: **up to 30%**
- Total workforce: **1.2 million**
- Jobs at risk: **400,000**

Source: Industry association

CERAMIC CLUSTER
(Morbi, Gujarat)



- No. of units: **750**
- Units shut (LPG): **400 (53%)**
- Operational (PNG): **350 (47%)**
- Size of the ceramic industry: **Rs 53,000 crore**
- Estimated revenue loss: **Rs 1,300 crore**

Source: Industry association; CRISIL

PLASTIC PROCESSORS



- No. of units: **95,000***
- Raw material price rise: **45%**
- Direct and indirect jobs: **5 mn**
- Jobs losses: **30% of labour force (mainly contractual)**
- Production reduction: **40%**

** As per Udyam*

Exports Exposure
- Exports: **Rs 1.22 lakh cr.**
- Middle East share: **6-7%** *(halted)*

Source: Industry experts

What is being done

The government is working on a Rs 57,300 crore economic stabilisation fund to help cushion the adverse impact of the war. It has also announced a Rs 497 crore Resilience & Logistics Intervention for Export Facilitation (RELIEF) scheme, offering insurance support to exporters with exposure to West Asia.

Moreover, benefits under the Remission of Duties and Taxes on Exported Products (RoDTEP) scheme for all eligible export products have been restored with effect from March 23; the benefits were earlier cut by 50 per cent.

What more needs to be done

The industry stakeholders have sought an extension of credit repayment timelines for exporters and importers, as shipment delays are leading to slower payments. There are also calls for freight subsidies to partially offset the sharp rise in logistics costs and ease pressure on margins.

Similarly, the industry wants more intervention on the logistics front: curb arbitrary pricing by shipping and logistics players and ensure greater transparency in freight charges. Exporters are also seeking that Indian consulates in the region set up dedicated helpdesks for stranded shipments, negotiate waivers on demurrage charges at UAE ports, and coordinate with global shipping bodies to help restore normal cargo movement. ■

THE IMPACT

- LPG shortages force partial or complete shutdowns in several MSME clusters
- Freight rates and input costs, including energy and crude-linked raw materials, have risen steeply, putting pressure on margins
- Exports disrupted, with shipment delays, rising logistics costs and order cancellations affecting key markets
- Prolonged disruptions likely to trigger large-scale job losses across MSME hubs